25STCV25334 25STCV25334

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Case Number: 25STCV25334 Hearing Date: July 14, 2026 Dept: 529

MICHAEL EISENBERG D/B/A EISENBERG &
ASSOCIATES VS HECTOR CHAVEZ, ET AL.

DEMURRER
WITH MOTION TO STRIKE FIRST AMENDED COMPLAINT

Date of Hearing: July 14, 2026 Trial
Date: None set

Department: 529 Case
No.: 25STCV25334

Moving Party: Defendants Law Offices of Ramin R. Younessi, APLC and
Hector Chavez

Responding
Party: Plaintiff Michael Eisenberg
d/b/a Eisenberg & Associates

Meet and
Confer: Yes. Ortiz Decl.

BACKGROUND

On August
28, 2025, Plaintiff Michael Eisenberg d/b/a Eisenberg & Associates filed a
complaint against Defendant Hector Chavez and Law Offices of Ramin R. Younessi,
a Professional Law Corporation, for breach of contract, conversion, fraud, and

declaratory relief. On March 18, 2026, Plaintiff filed a first amended complaint, removing the fraud cause of action.

Plaintiff
filed a second amended complaint on June 22, 206.

[TENTATIVE]
RULING:

Defendants
Hector Chavez and Law Offices of Ramin R. Younessi, a Professional Law Corporation's Demurrer to the First Amended Complaint is SUSTAINED with LEAVE TO AMEND; Defendants Hector Chavez and Law Offices of Ramin R. Younessi, a Professional Law Corporation's Motion to Strike is GRANTED WITHOUT LEAVE TO AMEND.

DISCUSSION

Defendants Hector Chavez and Law Offices of Ramin R.
Younessi, a Professional Law Corporation demur to Plaintiff's First Amended Complaint on the grounds the first, second and third causes of action do not state facts sufficient to constitute a cause of action and are uncertain, vague and ambiguous. Defendants also move for an order striking Plaintiff's allegations regarding punitive damages.

"[A] demurrer tests the legal sufficiency of the
allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Insurance Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hospital District (1992) 2 Cal.4th 962, 967.)

The court briefly notes Plaintiff filed an
opposition arguing the demurrer with motion to strike is moot because Plaintiff

filed a Second Amended Complaint. However, that complaint was filed without leave to amend. ode of Civil Procedure 472 provides that a party “may amend its pleading once without leave of the court at any time before the answer or demurrer is filed, or after a demurrer is filed but before the demurrer is heard if the amended complaint, cross-complaint, or answer is filed and served no later than the date for filing an opposition to the demurrer.” (CCP §472.) However, the right to amend under Section 472 is limited to the original complaint. (Hedwall v. PCMV, LLC (2018) 22 Cal.App.5th 564, 579.) Because a party cannot amend (without leave of court) an amended complaint, the court reviews the merits of the demurrer to the FAC.

Breach of Contract

“The standard elements of a claim for breach of contract are: ‘(1) the contract, (2) plaintiff’s performance excuse for nonperformance, (3) defendant’s breach, and (4) damage to plaintiff therefrom.’” (Wall Street Network, Ltd. v. New York Times Co. (2008) 164 Cal.App.4th 1171, 1178.)

Defendants demur to the first cause of action for breach of contract on the grounds Plaintiff fails to state a valid contract existed between it and Chavez. Moreover, a fee agreement that labels itself as “contingent” but requires payment of hourly fees irrespective of recovery is not a valid contingency agreement and violates Business and Professions Code section 6147. As a result, Plaintiff’s allegations Chavez “would remain ‘obligated to pay [Plaintiff] at the hourly rate of $900.00 for all services provided and to reimburse [Plaintiff] for all costs advanced[]’” and that the retainer provides Plaintiff a lien “‘on all proceeds of any recovery obtained whether by settlement, arbitration award or court judgment[]’” is improper.

The court finds the complaint insufficiently alleges a breach of contract claim. Business & Professions Code section 6147 “imposes several preconditions on the enforceability of a contingency fee agreement. First, both the attorney and client must sign the agreement. Second, the agreement must state the contingency fee rate, and address how costs affect the attorney's fees and the client's recovery. And finally, the agreement must state that the attorney's fees are negotiable and not set by law. If a contingency fee agreement does not comply with these requirements, the agreement is voidable at the client's election." (Stroud v. Tunzi (2008) 160 Cal.App.4th 377, 381.) Plaintiff has now attached the contract and upon review, the court finds the discharge provision does not comply with Business & Professions Code section 6147. As noted above, Section 6147(a)(3), requires disclosure of "what extent, if any, the client could be required to pay any compensation to the attorney for related matters that arise out of their relationship not covered by their contingency fee contract". Here, the discharge provision provides the client is to remain obligated to pay the attorney at the agreed rate ($900) for all services provided and to reimburse the attorney for the costs advanced. However, discharged contingency fee attorneys can only recover under quantum meruit. (See Fracasse v. Brent (1972) 6 Cal.3d 784, 786.)

Accordingly, the demurrer to the first cause of action is SUSTAINED WITH LEAVE TO AMEND TO ALLEGE QUANTUM MERUIT DAMAGES.

Conversion

To plead a cause of action for conversion, one must allege (1) the plaintiff's ownership or right to possession of personal property; (2) defendant's disposition of the property inconsistent with plaintiff's rights; and (3) resulting damages. (Fremont Indemnity Co. v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119.)

Defendants demur to the second cause of action for conversion on the grounds the complaint does not allege a wrongful act inconsistent with Plaintiff's rights. Defendants maintain the complaint concedes Younessi has kept the disputed funds in a State Bar authorized Client Trust Account (CTA) since the settlement in 2022 and that Younessi attempted to provide a partial payment in 2022 but that was rejected. Here, because there is no valid attorney lien based on a lawful contract between Chavez and Plaintiff, there can be no conversion because Plaintiff did not have an immediate right to the settlement proceeds.

The court agrees. The court has previously noted retaining disputed fees in a client trust account in compliance with Rule 1.15 of the California Rules of Professional Conduct does not constitute conversion as Rule 1.15(c) requires that disputed fees remain in the trust account until the dispute is finally resolved. The FAC alleges despite Rule 1.15, the possession is improper because it is Defendants' position that "Plaintiff has no right to the funds (despite the Agreement and lien) renders the withholding wrongful and inconsistent with Plaintiff's rights." (FAC ¶41.) This still does not create a conversion claim.

Accordingly, the demurrer to the second cause of action is SUSTAINED WITHOUT LEAVE TO AMEND. Plaintiff may only recover in quantum meruit.

Declaratory Relief

A cause of action for declaratory relief must include the following elements: (1) a person interested under a written instrument or a contract; or (2) a declaration of his or her rights or duties; (a) with respect to another; or (b) in respect to, in, over or upon property; and (3) an actual controversy. (C.C.P. §1060; Ludgate Insurance Co. v. Lockheed Martin Corp. (2000) 82 Cal.App.4th 592, 605-606; Bennett v. Hibernia Bank (1956) 47 Cal.2d 540, 549; see also City of Cotati v. Cashman (2002) 29 Cal.4th 69, 80 ["an actual, present controversy must be pleaded specifically" and "the facts of the respective claims concerning the [underlying] subject must be given."].)

Defendants demur to the third cause of action for declaratory relief on the grounds any claim for declaratory or injunctive relief is duplicative of the other substantive claims. Moreover, to the extent Plaintiff seeks injunctive relief, it must be tied to a viable underlying cause of action. The complaint fails to allege sufficient facts supporting the elements necessary for injunctive relief—namely, that Plaintiff has no adequate remedy at law and will suffer irreparable harm absent injunctive relief.

The court overrules the demurrer. The plaintiff may seek declaratory relief as to its rights under the contract.

Motion to Strike

Defendants move to strike the punitive damages allegations on the grounds they are improper and insufficiently plead.

Motions to strike are used to reach defects or objections to pleadings that are not challengeable by demurrer (i.e., words, phrases, prayer for damages, etc.). (See CCP §§435, 436 & 437.)

A motion to strike must be filed within the time allowed to respond (e.g., 30 days after service of the complaint or cross-complaint) unless extended by court order. Where there are grounds for a demurrer and a motion to strike, they must be filed together and noticed for hearing at the same time. (CCP §435(b)(3) and CRC Rule 329.) A motion to strike can be made to strike irrelevant, false or improper matter inserted in any pleading or to strike any pleading or part thereof not drawn or filed in conformity with the laws of this state, a court rule or order of the court. (CCP §436.)

Defendants argue the First Amended Complaint does not allege any facts that rise to the level of punitive conduct. Specifically, Plaintiff alleges that an agreement existed between Plaintiff and Chavez, and that when Chavez later substituted Younessi as counsel, the agreement was purportedly breached because Plaintiff did not receive what it anticipated from the underlying settlement. Defendants contend these allegations do not rise to the level of oppression, fraud or malice.

The court agrees the allegations do not sufficiently show oppressive, fraudulent or malicious conduct. Based on the foregoing, the motion to strike is GRANTED WITHOUT LEAVE TO AMEND. Plaintiff’s only remedy is through quantum meruit.